Gopal Snacks Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Rajkot-based maker of packaged Indian snacks: gathiya (its hero product), namkeen, potato wafers, snack pellets and extruded snacks, sold mostly at small price points through distributors in Gujarat (its core state) and a set of 'focus states' (Maharashtra, Madhya Pradesh, Uttar Pradesh, Chhattisgarh, Rajasthan). It makes much of its own key input, besan (gram flour), from chana it buys and stores itself.

Number	Value	What it means
Market cap	Rs 3,249 cr	What the market values the whole company at (Screener).
Q2 FY27 revenue	Rs 462 cr	Sales for July to September 2026, up 22.9% on last year and 9.3% on the June quarter.
Q2 FY27 EBITDA	Rs 41.6 cr, 9.0% margin	Operating profit before interest, tax and depreciation. Up 72% on last year; margin up from 6.4%, but still below the 12-14% it made in FY23-FY24 before the fire.
Q2 FY27 profit after tax	Rs 45.9 cr	Includes a one-off insurance gain of Rs 35.3 cr from the fire claim, so the underlying profit is much smaller.
FY26 revenue	Rs 1,508 cr	Full-year sales, up only 3%; the year was hit by the Rajkot fire.
P/E	50x	The price is about fifty years of current earnings, which is pricey for a business still rebuilding margins.

2. Concall coverage

Quarter	Date	Transcript read?
Q3 FY24 (pre-IPO/IPO period)	Apr 2024	Yes (key passages)
Q4 FY24	May 2024	Yes (key passages)
Q1 FY25	Jul 2024	Skimmed
Q2 FY25	Oct 2024	Skimmed
Q3 FY25	Feb 2025	Yes (key passages)
Q4 FY25	May 2025	Yes (key passages)
Q1 FY26	7 Aug 2025	Yes (key passages)
Q2 FY26	Nov 2025	Yes (key passages)
Q3 FY26	Feb 2026	Yes (key passages)
Q4 FY26	13 May 2026	Yes (key passages)
Q1 FY27	10 Aug 2026	Yes (key passages)
Q2 FY27	3 Nov 2026	Yes, read in full ★

Twelve calls across about two and a half years, all on Screener. The latest call was read in full; earlier calls were searched for guidance, plant dates and the fire recovery.

Latest concall highlights: Q2 FY27 (3 Nov 2026)

- Revenue Rs 461.5 cr, up 22.9% on last year. Gathiya sales grew 25.6%, wafers 40%, snack pellets and extruded snacks 23%. EBITDA margin rose to 9% from 6.4% a year ago, helped by price rises, smaller pack weights (grammage cuts) and better use of the plants.
- Guidance kept: Rs 1,800-1,900 cr revenue for FY27 with an 8-9% EBITDA margin, and at least 20% growth a year after that. October was running at 22-23% growth. The double-digit margin hope is pushed out until the war-driven cost inflation (palm oil, packaging film) eases.
- The full and final fire insurance claim of Rs 36.4 cr was received in October 2026, taking total recovery to Rs 77.4 cr. A new besan plant started at Nagpur in September, saving about Rs 3 cr a year in transport.

- Distributors rose to 1,057 from 953 at the end of FY26. About 25-30 new Gujarat distributors for western snacks (wafers) will be added in Q3-Q4, and a healthier-snack range launches on quick commerce by mid-December.
- Tone: confident on growth, careful on margins. Management admitted the Gujarat run rate is below its Rs 100 cr a month aim and distributor additions in focus states are slower than hoped.

Business mix & capacity

Domestic vs export: Almost entirely domestic. Exports are tiny: about Rs 1 cr in October 2026, up from Rs 50-60 lakh a month. New channels (railways, modern trade, quick commerce, exports) should be Rs 30-35 cr this year.

Capacity use: About 37-38% utilisation at the company level (Q2 FY27), so there is plenty of room to grow without new plants. Grammage cuts also lowered the tonnage the plants run.

3. Earning Trigger thesis

The trigger is the rebuild after the December 2024 fire at the main Rajkot plant. With the Modasa plant fully running since December 2025 and Rajkot recommissioned, supply is back, distribution is widening outside Gujarat, and sales are growing over 20% again. Plants run at under 40% use, so each extra rupee of sales should lift margins (operating leverage). The catch is cost inflation in palm oil and packaging, and a price war in Gujarat, which keep margins well below pre-fire levels.

Trigger	What management said	Evidence so far	Time horizon	Strength
Fire recovery and plant restoration	Modasa first promised for mid-July 2025, then September 2025	Fully running from December 2025, about 4-5 months late; sales up 23-31% in the last three quarters	Done	Strong: it's in the numbers now
Distribution expansion in focus states	Around 250 new distributors this calendar year	About 220 now expected; network up to 1,057; focus-state growth about 35%	1-2 years	Moderate: real, but slower than planned
Margin rebuild via operating leverage	8-9% EBITDA in FY27, double digits once inflation eases	9% in Q2 FY27; about 1% gained from operating leverage in H1	FY27-FY28	Moderate: depends on input costs

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Not discussed.
New business	Yes	Healthier snacks range for quick commerce and modern trade by mid-December; non-palm-oil products (bakery, rusk, noodles) to rise from 3.25% to 4.5% of sales (Nov 2026).
Margin up	Yes	'EBITDA margin improved to 9% as compared to 6.4% in Q2 FY26', from operating leverage, product mix and cost control (Nov 2026).
New management	No	No CEO/MD/CFO change discussed in the latest call.
New capacity	Yes	Besan unit at Nagpur started in September 2026; Modasa plant fully operational from 1 December 2025 (Feb 2026 call).
Big orders	No	Consumer business; no order book.
Turnaround	Yes	Recovery from the Rajkot fire: 'restoration of manufacturing capabilities and expansion of our distribution network translated into higher revenue and improved profitability' (Nov 2026).
Promoter buying	No	Not discussed.

The single concrete driver: Restored plants after the Rajkot fire plus a wider distributor network are bringing back over 20% sales growth, with plants still under 40% used.

3c. Margin bridge

EBITDA margin is 9% now versus 6.4% a year ago. Price rises, grammage cuts, lower trade discounts, a better mix and operating leverage more than offset raw material inflation of about 5.5% in H1. Management says the operating leverage keeps coming as plants fill, but palm oil and packaging film costs still cap it (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
May 2024 (Q4 FY24)	EBITDA margin kept in the 12-13% range; double-digit growth	Margins fell to 7% in FY25 and FY26 (fire, palm oil duty); FY25 growth 5%	Missed
Feb 2025 (after the fire)	Full restoration by mid-August 2025 with no third-party sourcing	Modasa delayed to September, then to full range from December 2025	Partly
May 2025 (Q4 FY25)	FY26 revenue Rs 1,800 cr, later cut to Rs 1,750 cr	FY26 revenue Rs 1,508 cr	Missed
May/Aug 2026	FY27: at least 20% growth, 8-9% EBITDA margin	H1 FY27 sales up 26.7%, EBITDA margin 8.3%; Q2 at 9%	Delivered so far
Aug 2025 onward	Full fire insurance claim	Final Rs 36.4 cr received Oct 2026; Rs 77.4 cr total	Delivered
2026	About 250 new distributors this calendar year	Now about 220 expected	Partly

Narrative drift: The story has stayed the same (gathiya leadership in Gujarat, widen into neighbouring states, wafers as the profitable growth line), but timelines kept slipping through 2025: the Modasa plant was late several times and the FY26 revenue goal was missed by a wide margin. Since the plants came back, the company has hit its FY27 run rate. The tone is now more careful on margins.

5. Bottom line

Durable earning trigger? → YES

The fire recovery and distribution push are a concrete driver and it's already in the results: three straight quarters of 23-31% growth and margins climbing back. It is not yet back to pre-fire profitability, and input inflation and a Gujarat price fight could slow the margin rebuild.

Management consistent? → MAYBE

Recent promises (FY27 growth, insurance claim) are being met, but the record before that is weak: missed FY26 revenue guidance, a plant that came 4-5 months late and pre-fire margin targets that never held. Distributor additions are also running behind plan.

6. Checkpoints for next quarter

- FY27 revenue guidance of Rs 1,800-1,900 cr is held
- EBITDA margin stays at 9% or better
- About 15 new Gujarat wafer distributors are live by 31 December

This is not investment advice. Do your own due diligence.